

1.

CASE #	CASE NAME	HEARING NAME
CVPS2406846	SCHERMAN VS HYATT	MOTION FOR SUMMARY JUDGMENT ON COMPLAINT OF SOPHIA SCHERMAN

Tentative Ruling: The court issued its tentative ruling on 7.27.26. No changes have been made. Hearing was continued to 8.05.26 for oral argument to be reported.

2.

CASE #	CASE NAME	HEARING NAME
CVPS2601632	KOGAN VS PELTZ	DEMURRER ON COMPLAINT OF VADIM "DAVID" KOGAN

Tentative Ruling: A general demurrer lies where the pleading does not state facts sufficient to constitute a cause of action. (C.C.P. § 430.10(e).) The court assumes the truth of all material facts which have been properly pleaded, of facts which may be inferred from those expressly pleaded, and of any material facts of which judicial notice has been requested and may be taken. (*Crowley v. Kattelman* (1994) 8 Cal.4th 666, 672.)

In ruling on a demurrer, extrinsic evidence may not be considered. (*Lane v. I.U.O.E. Stationary Engineers* (1989) 212 Cal. App. 3d 164.) In addition, a demurrer does not admit contentions, deductions or conclusions of fact or law. (*Daar v. Yellow Cab Company* (1967) 67 Cal.2d 695, 713.) Facts appearing in exhibits attached to the complaint will also be accepted as true and, if contrary allegations appear in the complaint will be given precedence. (*Del E. Webb Corp. v. Structural Materials Co.* (1981) 123 Cal.App.3d 593, 606.)

If the complaint fails to state a cause of action, the court must grant the plaintiff leave to amend if there is a reasonable possibility that the defect can be cured by amendment. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) A complaint with certain exceptions, need only contain a "statement of the facts constituting the cause of action, in ordinary and concise language" (C.C.P. § 425.10(a)(1)) and will be upheld "so long as the pleading gives notice of the issues sufficient to enable preparation of a defense." (*Okun v. Superior Court* (1981) 29 Cal.3d 442, 458.)

2nd and 3rd Causes of Action for Negligence and Negligence Per Se:

The elements of a negligence claim are: (1) legal duty owed to plaintiffs to use due care; (2) breach of duty; (3) causation; and (4) damage to plaintiff. (*County of Santa Clara v. Atlantic Richfield Co.* (2006) 137 Cal.App.4th 292, 318.)

"Negligence per se" is an evidentiary doctrine, codified at Evidence Code section 669, which creates a presumption of negligence if: (1) the defendant violated a statute, ordinance, or regulation of a public entity; (2) the violation proximately caused injury to person or property; (3) the injury resulted from an occurrence the nature of which the statute, ordinance, or regulation was designed to prevent; and (4) the person the injury to his person or property was one of the class of persons for whose protection the statute, ordinance, or regulation was adopted. (Evid. Code § 669(a).) Negligence per se is not to an independent cause of action, and does not provide a private right of action for violation of a statute. (*Quiroz v. Seventh Ave. Center* (2006) 140 Cal.App.4th 1256, 1285.) "Instead, it operates to establish a presumption of negligence for which the statute serves the subsidiary function of providing evidence of an element of a preexisting common law

cause of action.” (*Id.* at 1285-1286.) “Statutes may be borrowed in the negligence context for one of two purposes: (1) to establish a duty of care, or (2) to establish a standard of care.” (*Elsner v. Uveges* (2004) 34 Cal.4th 915, 927-928, fn. 8.)

Plaintiffs allege that Peltz Defendants owed a contractual duty of care to complete the Project in compliance with applicable statutes, rules, regulations, codes, and standards; breached their duty of care by allowing the Project to be completed by unlicensed individuals in violation of building codes; and that such breaches caused Plaintiffs to suffer economic and non-economic damages, including emotional distress. (Complaint, ¶ 57-79.)

Peltz Defendants argue that Plaintiffs are barred from asserting a negligence tort action for a breach of contract that has not resulted in violation of an independent duty. The “economic loss rule” bars “a plaintiff’s tort recovery of economic damages unless such damages are accompanied by some form of physical harm (i.e. personal injury or property damage.)” (*North American Chemical Co. v. Superior Court* (1997) 59 Cal.App.4th 764, 777.) Quite simply, the economic loss rule prevents the law of contract and the law of tort from dissolving one into the other. (*Food Safety Net Services v. Eco Safe Systems USA, Inc.* (2012) 209 Cal.App.4th 1118, 1130, citing *Robinson Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal.4th 979, 988.) However, the economic loss rule does not apply where the conduct amounting to a breach of contract also violates a duty independent of the contract constituting a tort. (*Erlich v. Menezes* (1999) 21 Cal.4th 543, 551; see e.g., *J’Aire Corp. v. Gregory* (1979) 24 Cal.3d 799 (negligent interference with prospective economic advantage.) Tort damages have been permitted in contract cases where a breach of duty directly causes physical injury, for breach of the covenant of good faith and fair dealing in insurance contracts, for wrongful discharge in violation of fundamental public policy, or where the contract was fraudulently induced. (*Erlich, supra*, 21 Cal.4th at 551-552 [internal citations omitted].) On the other hand, if the alleged negligence is merely improper performance under the contract, such conduct is insufficient to give rise to tort liability. (*Id.* at 550.) As currently pleaded, Plaintiffs’ allegations do not give rise to an inference that Peltz Defendants’ breaches violated a duty independent of the Contract at issue.

5th Cause of Action for Civil Penalties Under Penal Code § 496(c):

“Penal Code section 496, subdivision (a) (section 496(a)) makes receiving or buying property ‘that has been obtained in any manner constituting theft’ a criminal offense punishable by imprisonment. Section 496, subdivision (c) (section 496(c)) provides that any person ‘who has been injured by a violation of [section 496(a)] ... may bring an action for three times the amount of actual damages, if any, sustained by the plaintiff, costs of suit, and reasonable attorney’s fees.’” (*Bell v. Feibush* (2013) 212 Cal.App.4th 1041, 1043 [italics omitted], citing Pen. Code § 496.)

In *Bell*, the Fourth District held that theft by false pretense, “which is the consensual but fraudulent acquisition of property from its owner,” is a violation of Penal Code § 496(a) that is subject to treble damages under § 496(c.) (*Bell, supra*, 212 Cal.App.4th at 1049 [“Section 496(a) extends liability to ‘[e]very person who buys or receives any property that has been stolen or that has been obtained *in any manner* constituting theft.’ (Italics added.) Penal Code section 484, subdivision (a) describes the acts constituting theft to include theft by false pretense, which is the consensual but fraudulent acquisition of property from its owner. (Pen. Code, §§ 484, subd. (a), 532.) [Defendant] was found liable for fraud, i.e., for the fraudulent acquisition of property (money) from its owner ([Plaintiff]).

‘Anything that could be the subject of a theft can also be property under section 496.’ [Citation.]”.)

Plaintiffs’ fifth cause of action seeks treble damages for Contractor Defendants’ “fraudulent diversion of cash distributions” for payment of their work, alleging that accepting such payments for performing unlicensed work in violation of several statutes constitutes theft. (Complaint, ¶ 93.) Accordingly, Plaintiffs’ allegations that Peltz Defendants fraudulently obtained money for performing unlicensed work is sufficient to state a cause of action for treble damages under Penal Code § 496(c).

Peltz Defendants argue that Plaintiffs’ allegation that they “wrongfully obtained possession of money and property from Plaintiff, David, through conduct that constitutes theft under California Penal Code section 496” (Complaint, ¶ 95) is an improper conclusion of law. (Demurrer, pp. 3-4.) However, Plaintiffs stated sufficient facts to support their conclusion by alleging that Contractor Defendants obtained Plaintiffs’ money by performing work on the Project without a license. (Complaint, ¶ 93.)

9th Cause of Action for Tortious Breach of Implied Covenant of Good Faith and Fair Dealing:

“The covenant of good faith and fair dealing, implied by law in every contract, exists merely to prevent one contracting party from unfairly frustrating the other party’s right to receive the benefits of the agreement actually made.” (*Guz v. Bechtel Nat. Inc.* (2000) 24 Cal.4th 317, 349.)

Peltz Defendants cite to *Foley v. Interactive Data Corp.* (1988) 47 Cal.3d 654 in support of their argument that a cause of action for tortious breach of implied covenant of good faith and fair dealing is only available in the insurance context, and may not be extended to employment contracts. (Demurrer, pp. 4-5.) However, *Foley* does not state that no such cause of action exists. Rather, *Foley* narrowly holds that tort remedies are not available for breach of the implied covenant of good faith and fair dealing in employment contracts, as “contractual remedies should remain the sole available relief for breaches of the implied covenant of good faith and fair dealing in the employment context.” (*Foley, supra*, 47 Cal.3d at 683-696.) As noted above, the covenant of good faith and fair dealing is “implied by law in every contract.” (*Guz, supra*, 24 Cal.4th at 349 [emphasis added].)

11th Cause of Action for Violations of the CLRA:

The Consumer Legal Remedies Act (Civil Code §1750 et seq.) (“CLRA”) prohibits “unfair methods of competition and unfair or deceptive acts or practices undertaken by any person in a transaction intended to result or which results in the sale or lease of goods or services to any consumer....” (*Wang v. Massey Chevrolet* (2002) 97 Cal.App.4th 856, 869 [internal quotation omitted.]) “Any consumer who suffers any damage as a result of the use or employment by a person of a method, act or practice declared to be unlawful by section 1770 may bring an action against that person to recover actual damages, injunctive relief, restitution of property, punitive damages, and any other relief the court deems proper.” (*Ibid.*)

The CLRA specifically prohibits 26 “unfair methods of competition and unfair or deceptive acts or practices” in connection with the sale or lease of consumer goods or services to a consumer. (Civ. Code § 1770(a).) A “consumer” under the CLRA is “an individual who seeks or acquires, by purchase or lease, any goods or services for personal, family, or household purposes.” (Civ. Code § 1761(d).)

Peltz Defendants argue that Plaintiffs cannot assert a cause of action under the CLRA because neither are “consumers” as defined by the statute. Specifically, the Complaint alleges that Plaintiff DNAK2, the legal title holder to the Property, is a limited liability company (“LLC”). (Complaint, ¶ 2.) Accordingly, DNAK2 is not an “individual” who qualifies as a “consumer” under the CLRA. (Civ. Code § 1761(d); see *Cooper v. Simpson Strong-Tie Company, Inc.* (N.D. Cal. 2020) 460 F.Supp.3d 894, 912 [LLC that owned a home was not a “consumer” that could assert a claim under CLRA because CLRA contemplated a “consumer” as an individual who had acquired a product for personal, family, or household purposes, all of which LLC, as a corporation, was unable to do].) In their Opposition, Plaintiffs concede that an LLC cannot assert a CLRA claim. (Opp., p. 9.)

Peltz Defendants further contend that Plaintiffs cannot assert a CLRA claim because the Complaint alleges they used the Property “for rental purposes with Airbnb,” and not for personal, family, or household purposes.” (Complaint, ¶ 17.) In opposition, Plaintiffs argue that under *Protect Our Neighborhoods v. City of Palm Springs* (2002) 73 Cal.App.5th 667, 679, the short-term rental of a single-family home does not convert the property into a commercial use. (Opp. 9-10.) However, *Protect Our Neighborhoods* discussed only whether the short-term rental of a home constitutes “commercial use” in the context of a zoning ordinance, and made no mention of a “consumer” or the CLRA. (*Protect Our Neighborhoods*, *supra*, 73 Cal.App.5th at 678-681.) Here, the facts do not support that Plaintiffs’ use of the Property was for “personal, family, or household purposes” to allow Plaintiff Kogan, an individual, to assert a claim against Defendants under the CLRA.

Demurrer as to the 2nd, 3rd and 11th Causes of Action SUSTAINED with leave to amend. Plaintiffs to file amended complaint within 20 days.

Demurrer as to the 5th and 9th Causes of Action OVERRULED.

Case Management Conference continued from 9.10.26 to 10.22.26.

3.

CASE #	CASE NAME	HEARING NAME
CVPS2601632	KOGAN VS PELTZ	MOTION TO STRIKE COMPLAINT OF VADIM “DAVID” KOGAN BY DEFENDANT BEAU JAMES PELTZ, INDIVIDUALLY AND DOING BUSINESS AS CLEARLY THE BEST POOLS SERVICE

Tentative Ruling: “Any party, within the time allowed to respond to a pleading may serve and file a notice of motion to strike [a pleading] or any part thereof[.]” (C.C.P. § 435(b)(1).)

The Court may, upon a motion, or at any time in its discretion, and upon terms it deems proper, “[s]trike out any irrelevant, false, or improper matter inserted in any pleading.” (C.C.P. § 436(a).) “The grounds for a motion to strike shall appear on the face of the challenged pleading or from any matter of which the court is required to take judicial notice.” (C.C.P. § 437(a).)

A motion to strike is the proper vehicle to attack a claim for punitive damages where facts alleged do not rise to the level of fraud, malice or oppression. (*Truman v. Turning*